

What is “the economy”? What metrics make up an economy?

The economy is the system that society uses to produce, distribute and consume goods and services. The metrics that make up an economy are how people earn money, how businesses operate and how resources are used. This also includes how governments and regular people make decisions about how they spend their money. Common metrics that make up an economy are GDP and CPI.

What are the 5 main types of economies throughout history?

Traditional economic system
Command economic system
Centrally planned economic system
Market economic system
Mixed economic system

Why is it important to study economics?

Studying economics helps people understand money, how resources are used and how these decisions are made in society. It allows people to make better choices, understand government policies and better prepare for the future.

What do you hope to learn about economics this semester?

This semester I hope to learn how economic systems work, how the government makes decisions and how that affects businesses and regular people.